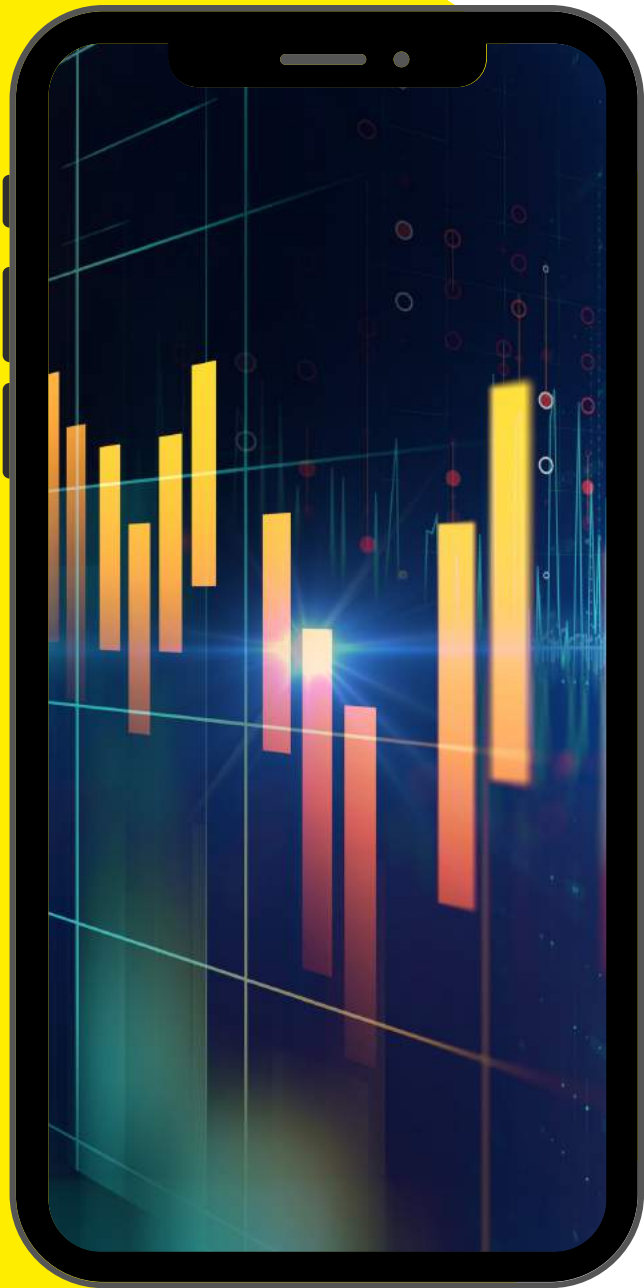




INTRODUCTION

The candlestick method refers to a style of financial chart reading that is used to understand the price movement of assets, and derivatives or currency. Each candlestick is built using a fixed time-frame which can be a minute, 5 minutes, an hour, a day or any custom period of time. Each candlestick is built using the high price, low price, opening price and closing price during that defined time period. We will have a very detailed take on candlesticks and create candlesticks ourselves too in this section.

Candlesticks were developed in Japan in the 18th century for rice trading and were introduced to the Western world later. Since then, they have become a fundamental tool of technical analysis and is one of the simplest ones.

This is typically how candlesticks look and they come in two colours – red (Bear Candle) and green (Bull Candle). When we see a chart, we will see a series of such individual candles and we will try to understand the pattern created by them. Each candle represents a fixed period. If we are using a 1-hour candle, 8 such candles will be created for an 8-hour trading session.

A series of such candles are studied to understand the behaviour of the price of the underlying asset.